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What's News

Business & Finance

◆ **Major U.S. stock indexes** fell sharply after Trump's tariffs paved the way for a global trade war, with the S&P 500, Dow and Nasdaq shedding 1.2%, 1.6% and 0.4%, respectively. **A1, A4**

◆ **A BlackRock-led** consortium agreed to buy majority stakes in two ports on the Panama Canal, along with dozens of others, from CK Hutchison for \$22.8 billion. **A1**

◆ **JPMorgan Chase and** Starwood agreed to lend \$2 billion to the developers of a 100-acre data center campus in West Jordan, Utah, outside Salt Lake City. **B1**

◆ **Honeywell struck a** roughly \$2.2 billion all-cash deal for pump-and-compressor maker Sundyne, extending the company's brisk pace of dealmaking. **B3**

◆ **Target and Best Buy** said their businesses were likely to come under pressure from U.S. tariffs, respectively warning of a hit to profit and vendor cost pass-throughs. **B2**

◆ **Abu Dhabi's Adnoc** and Austria's OMV agreed to combine their petrochemical businesses and acquire Canada's Nova Chemicals to form a giant with a combined value of about \$60 billion. **B11**

◆ **Francisco Partners** will acquire Quorum Software, now owned by Thoma Bravo, in a deal expected to value Quorum at \$2.4 billion, including debt. **B4**

◆ **Kraft Heinz prepared** to roll out its first alcohol product for U.S. grocery stores this month, with plans for a broader expansion next year. **B1**

◆ **Starbucks hired** Cathy Smith away from retailer Nordstrom to be the coffee chain's next finance chief. **B3**

World-Wide

◆ **President Trump put** his disruptive return to power on full display during a prime-time address to Congress, offering a no-apologies assessment of his decisions to crack down on illegal immigration, slash the federal workforce and impose stiff tariffs on imports. **A1**

◆ **Trump said** in his speech that the U.S. had taken custody of an Afghan involved in planning the deadly 2021 attack at Kabul airport. **A5**

◆ **The Supreme Court** appeared wary of Mexico's lawsuit against gun makers in a case that tests the firearm industry's legal exposure from gun violence. **A3**

◆ **Ukraine's Zelensky** called his heated White House meeting with Trump "regrettable" and set out his vision of a path to peace in an effort to repair his relationship with the president. **A6**

◆ **The European Union** proposed a \$158 billion fund to bolster military spending and support Ukraine's defense against Russia. **A6**

◆ **The Trump administration** disbanded two expert committees that advised the government on producing accurate economic statistics. **A5**

◆ **The Treasury Department** moved to formally rescind a license allowing Chevron to pump oil in Venezuela. **A7**

◆ **Arab leaders endorsed** Egypt's postwar plan for the Gaza Strip that allows residents to remain, a counterproposal to Trump's idea of depopulating the territory and redeveloping it. **A8**

◆ **Died: Robert G. Clark, 96,** pioneering Black lawmaker. **A2**

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Stocks Slide as Trade War Escalates



President Trump, with Vice President JD Vance and House Speaker Mike Johnson behind him, addressed Congress Tuesday night.

Major indexes whipsawed after new U.S. tariffs spark countermoves

By KAREN LANGLEY
AND KATY BARNATO

President Trump paved the way for a global trade war with new tariffs against the nation's top three trading partners on Tuesday, sending financial markets into a tailspin and prompting immediate retaliation from China and plans for reprisals from Canada and Mexico.

Stocks recovered some ground after early sharp declines: The Dow Jones Industrial Average ended down 670 points, or 1.6%, while the Nasdaq Composite fell 0.4%, or 65 points, after touching correction territory earlier in the day. The S&P declined 1.2%, or 72 points, wiping out gains since Election Day.

Trump's 25% tariffs on goods from Mexico and Canada took effect early Tuesday. Canada responded with plans to impose 25% tariffs on about \$100 billion of U.S. imports, with Prime Minister Justin Trudeau saying Trump is acting in "bad faith."

President Claudia Sheinbaum of Mexico said her country would also retaliate, with a range of moves to be announced Sunday.

Trump said Tuesday he will impose more tariffs on Canada if it retaliates against the U.S.'s trade actions. "Please explain to Governor Trudeau, of Canada, that when he puts on a Retaliatory Tariff on the U.S.,

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◆ **North America's free-trade era faces hard test..... A4**

◆ **Two-headed monster stagflation is lurking..... A4**

◆ **Heard on the Street: What tariffs mean for stocks... B13**

Trump Touts 'Swift and Unrelenting' Actions on Border, Budget, Economy

By ALEX LEARY

WASHINGTON—President Trump put his disruptive return to power on full display during a prime-time address to Congress on Tuesday night, offering a no-apologies assessment of his decisions to crack down on illegal immigration, slash the federal workforce and impose stiff tariffs on imports.

"I return to this chamber tonight to report that America's momentum is back, our spirit is back, our pride is back, our confidence is back," Trump

said, standing in the House chamber five years after his last address to Congress, describing what he called a "swift and unrelenting" campaign to transform the country.

The one-hour, 40-minute address—the longest ever of its kind by a president to a joint session of Congress—gave Trump an opportunity to sell his combative brand of governing to tens of millions of Americans in what is expected to be his largest audience since his inaugural address.

Trump presented a swaggering view of his administra-

tion, boasting of the dozens of executive orders he has signed and casting his first month in office as the most successful in history. He made few entreaties for unity, instead attacking Democrats as "radical left lunatics" and blaming his predecessor, Joe Biden, for the country's problems.

"I look at the Democrats in front of me and I realize there is absolutely nothing I can say to make them happy," he said. Democratic lawmakers held signs that read "false" and "Musk steals," a reference to Trump's ally Elon Musk and

the efforts he has led to slash government spending.

Seven minutes into the speech, Rep. Al Green (D., Texas) was removed from the House chamber after rising from his seat and shouting at the president. The disruption prompted Trump to momentarily pause his remarks. Green later told reporters that the outburst was "worth it to let people know that there are some people who are going to

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◆ **Zelensky aims to mend ties with Trump..... A6**

Two Titans Battle For Crypto's Future

Stakes are high in Tether and Circle's fight over how to regulate coins

By ANGUS BERWICK

LUGANO, Switzerland—Giancarlo Devasini, one of the world's newest billionaires, leads a reclusive life in this Alpine town. He stays in a modest apartment by the lake, strolls the cobbled streets with a black hoodie pulled over his head—and rages about the American rival he believes is trying to kill his business.

Devasini is the main owner of Tether, whose eponymous digital dollar is an indispensable part of the cryptocurrency industry. Tether's centrality has earned Devasini tremendous wealth and vast influence over

the sector, and the support of a top ally of President Trump.

Critics say Tether has become the tool of choice for criminal groups to spirit money around the globe.

Out to disrupt his business empire is Devasini's almost perfect foil, Jeremy Allaire, founder of Tether's archrival, Circle, which issues its own so-called stablecoin, called USD Coin, or USDC. Allaire, a suit-wearing executive as comfortable in Davos as he is on Wall Street or the halls of Congress, is running a campaign to regulate Tether out of existence.

Devasini has told business

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INSIDE



NASA/AP/GETTY IMAGES

U.S. NEWS

Two NASA astronauts are set to return to Earth after nearly nine months in orbit. **A2**

BUSINESS & FINANCE

Goldman to cut vice presidents in its next round of annual layoffs. **B1**

BlackRock Strikes Deal to Control Two Panama Ports

A consortium of investors led by BlackRock agreed to buy majority stakes in ports on either end of the Panama Canal, putting U.S. firms in

By Costas Paris,
Jack Pitcher and
James T. Areddy

control of two ports that President Trump raised as a security concern because of their connection to China.

The deal with Hong Kong-based CK Hutchison is worth \$22.8 billion and also includes dozens of other ports around the world, the companies said Tuesday.

Trump had flagged the Pan-

ama ports as a threat even though the canal is run and controlled by Panama. His administration argued China could force the two terminals, which handled 40% of all containers that crossed the waterway last year, to restrict U.S.-bound ships.

In recent months, Trump also threatened to take control of the canal, potentially by military force, saying the U.S. "foolishly gave it away" and that the U.S. was getting "ripped off."

On Tuesday night in his address to Congress, Trump repeated his threat to take over the canal.

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The Iditarod Is Short On Snow

* * *
Dog sled race changes course, heads north

By ANDREW BEATON
AND JOSHUA ROBINSON

Over the course of more than half a century, the Iditarod dog sled race has grown into one of America's iconic sporting events. Teams of mushers battle through blizzards, subzero temperatures and punishing winds to navigate a wild trail across Alaska during the dead of winter.

But when organizers were putting together this year's edition, they ran into a critical problem that any kid who has ever ridden on a sled would understand. There wasn't nearly enough snow.

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Scientist Left OpenAI, Starts \$30 Billion Firm

By BERBER JIN
AND DEEPA SEETHARAMAN

Silicon Valley's hottest investment isn't a new app or hardware product. It's one man.

AI researcher Ilya Sutskever is the primary reason venture capitalists are putting some \$2 billion into his secretive company, Safe Superintelligence, according to people familiar with the matter. The new funding round values SSI at \$30 billion, making it one of the most valuable AI startups in the world.

Sutskever became one of the industry's most revered AI researchers as chief scientist at OpenAI, where he helped develop the technology behind ChatGPT. He left OpenAI last year following a painful rupture with the company's chief executive, Sam Altman.

SSI said it doesn't plan to release any products until it develops super intelligence—

an industry term for an AI that can outsmart experts in nearly every field. Competitors like Google, OpenAI and Anthropic are trying to develop similarly advanced systems but are releasing consumer chatbots and business applications in the interim to generate revenue and demonstrate their progress.

Sutskever has told associates he isn't developing advanced AI using the same methods he and colleagues used at OpenAI. He has said he has instead identified a "different mountain to climb" that is showing early signs of promise, according to people close to the company.

"Everyone is curious about exactly what he's pushing and exactly what the insight is," said James Cham, a partner at venture firm Bloomberg Beta, which hasn't invested in SSI. "It's super-high risk, and if it works out, maybe you have the

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Agentforce can help millions of flyers navigate travel hiccups. Every hour.



Agentforce What AI Was Meant to Be